

Amazon Q4 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Amazon.com, Inc. (AMZN)
Report	Q4 2025
Release date	Thursday 5 February 2026, after close
Earnings call	5:00pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 5 February 2026
Read mode	transcript and news only
Time to produce	58 minutes

Source material (read this first)

Headline financials

- Revenue \$213.4B, up 12% year over year excluding currency.
- AWS \$35.6B, up 24%, at a \$142B annualized run rate with a 35% operating margin.
- Advertising \$21.3B, up 22%.
- Operating income \$25B including \$2.4B of special charges. Net income missed expectations.

Forward guide

- Q1 2026 net sales guided to \$173.5B to \$178.5B, operating income \$16.5B to \$21.5B.

- 2026 capex projected at about \$200B, far above the roughly \$146.6B analysts expected.
- Roughly \$1B of incremental North America cost from Amazon LEO satellite launches.

Hedges and concerns

- Results may be materially affected by geopolitics, tariffs and supply volatility.
- AWS margins expected to fluctuate as AI investments depreciate.
- Possible revenue compression if shoppers adopt third-party agents over Amazon's own.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Investors came in worried about free cash flow deterioration and AI infrastructure costs, and analysts expected double-digit revenue growth.
- The Street's 2026 capex estimate sat near \$147B, so any number well above that was the key risk.
- AWS had beaten in Q3 and reaccelerated, so cloud expectations were rising rather than falling.

Candidate evidence quotes

1. "AWS is now a \$142 billion annualized run rate business" – Jassy, prepared remarks.
2. "AWS is 35% operating margin through Q4, up 40 basis points year over year" – Olsavsky, Q&A.
3. "Trainium is a multibillion-dollar annualized run rate business and it's fully subscribed" – Jassy, Q&A.
4. "We added 3.99 gigawatts of power in the last twelve months" – Jassy, prepared remarks.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.30

Rationale. Operationally fine, with AWS up 24% at a 35% margin, but net income missed and the 2026 capex plan of roughly \$200B against the \$147B the Street modeled is a shock investors were not braced for.

2 Directional signal

Signal: SELL

Rationale. A spending surprise of that size lands directly on the fear investors already carried, free cash flow erosion. The Meta pattern says these prints get sold. SELL.

3 Structured summary

- **AWS and AI.** Strong and accelerating, no complaint here.
- **Retail and advertising.** Fine, with advertising up 22%.
- **Margins and capex.** A net income miss with special charges attached.

- **Forward guide.** The \$200B capex number is the print.

4 Evidence quotes

1. “AWS is now a \$142 billion annualized run rate business” – Jassy, prepared remarks (cloud).
2. “AWS is 35% operating margin through Q4, up 40 basis points year over year” – Olsavsky, Q&A (margins).
3. “Trainium is a multibillion-dollar annualized run rate business and it’s fully subscribed” – Jassy, Q&A (silicon).

— SEALED —

Overnight move and call verification

AMZN close, 5 February 2026 (release day)	\$222.69
AMZN open, 6 February 2026	\$202.70
Overnight move (release close → next open)	−8.98%

Call verification

- HOLD band test: $|-8.98\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **SELL**, matching the correct call, so the call was **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−8.98%
D+1 close	−5.55%
D+3 close	−7.06%
D+5 close	−10.37%
D+10 close	−5.65%
D+20 close	−4.26%